24STCV07860 24STCV07860

County: los-angeles

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Case Number: 24STCV07860 Hearing Date: July 8, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.
Kalra, Department 511

HEARING DATE: July
8, 2026

CASE NAME: Nobel
Textile, Inc. v. California Fair Plan Association

CASE NO.: 24STCV07860

MOTION
FOR SUMMARY ADJUDICATION

MOVING PARTY: Defendant
California Fair Plan Association

RESPONDING PARTY(S): Plaintiff Nobel Textile, Inc.

REQUESTED RELIEF:

1. An
order granting summary adjudication in Defendant’s favor on the second cause of
action and the claim for punitive damages.

TENTATIVE RULING:

1. Motion
for summary adjudication is DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On March 28, 2024, Plaintiff Novel Textile, Inc. (Plaintiff) filed a complaint against Defendant California Fair Plan Association (Defendant) with three causes of action for: (1) breach of the contractual duty to pay a covered claim; (2) breach of the duty of good faith and fair dealing; and (3) violation of Bus. & Prof. Code § 17200 et seq.

According to the complaint, Plaintiff's warehouse inventory was permeated by smoke and soot from a nearby fire, causing what it alleges was a total and irreversible loss of all fabric stock. Defendant, despite its own vendors concluding the inventory was unsalvageable, insisted the fabrics could be cleaned and paid only for deodorizing and cleaning rather than the full value of the loss. After delaying, disregarding contrary expert findings, and ultimately declaring the claim fully paid, Defendant left Plaintiff with no choice but to file suit to recover the full benefits owed.

On August 7, 2024, Defendant filed an answer.

On November 10, 2025, Defendant filed the instant motion for summary adjudication. On May 28, 2026, Plaintiff filed an opposition. On June 26, 2026, Defendant filed a reply.

LEGAL STANDARD:

"[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850, fn. omitted (Aguilar).) "Once the [movant] has met that burden, the burden shifts to the [other party] to show that a triable issue of one or more material facts exists as to that cause of action . . . ." (Code Civ. Proc., (CCP) § 437c, subd. (p)(2); see Aguilar, supra, at p. 850.) The party opposing summary judgment "may not rely upon the mere allegations or denials of its pleadings," but rather "shall set forth the specific facts showing that a triable issue of material fact exists . . . ." (CCP § 437c, subd. (p)(2).) A triable issue of material fact exists where "the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (Aguilar, supra, at p. 850.)

The opposing party on a motion for summary judgment is under no evidentiary burden to produce rebuttal evidence until the moving party meets his or her initial movant’s burden.¿ (Binder v. Aetna Life Insurance Company (1999) 75 Cal.App.4th 832, 840.)¿ Once the initial movant’s burden is met, then the burden shifts to the opposing party to show, with admissible evidence, that there is a triable issue requiring the weighing procedures of trial.¿ (CCP § 437c(p).)¿ The opposing party may not simply rely on his/her allegations to show a triable issue but must present evidentiary facts that are substantial in nature and rise beyond mere speculation.¿ (Sangster v. Paetkau (1998) 68¿Cal.App.4th 151, 162.)¿ Summary judgment must be granted “if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.”¿ (Adler v. Manor Healthcare Corp. (1992) 7¿Cal.App.4th¿1110, 1119.)¿¿¿

The pleadings dictate the scope of a motion for summary judgment. “The materiality of a disputed fact is measured by the pleadings [citations], which ‘set the boundaries of the issues to be resolved at summary judgment.’ [Citations.]” (Hutton v. Fid. Nat'l Title Co. (2013) 213 Cal. App. 4th 486, 493.) The pleadings here are challenging to decipher.

ANALYSIS:

Evidentiary Objections

The court rules on the Defendant’s evidentiary objections as follows:

Objections to Declaration of Samuel Bruchey: OVERRULED in full.

Objections to Declaration of Kari Burke:

OVERRULED in full. The court would note that many of the observations objected to were contained in the exhibits offered by Defendant and received without objection.

Objections to Declaration of Dean Herman:

The objections are challenging since numbers are repeated. The court sustains objections 2,3,4,5,6,8,9,10 that repeat verbatim regulations, codes or case authority as improperly re-stating the law. The court will determine the law. To the extent that the expert relies upon experience, regulations, codes or case authority as the basis of their opinion, the objections are OVERRULED, as are any remaining objections.

Request for Judicial Notice

The court GRANTS Defendant's request for judicial notice of the complaint in this matter. (Evid. Code § 452(d).)

The court DENIES Plaintiff's request for judicial notice as irrelevant.

Summary Adjudication

Second Cause of Action: Breach of the Implied Covenant of Good Faith and Fair Dealing

Defendant contends summary adjudication in their favor is warranted because it is undisputed that the FAIR Plan timely, diligently, and thoroughly investigated the claim, paying $168,061.38 in policy benefits. Defendant further contends that the genuine dispute doctrine bars Plaintiff's claim.[1]

Plaintiff argues that Defendant did not meet its initial burden because their own evidence does not support reasonable handling of the claim. In fact, they point out that none of Defendant's vendors agreed with the position that the fabrics could be restored to new condition. They add that the genuine dispute doctrine does not apply to this case.

Defendant replies Plaintiff's opposition is predicated on an incorrect interpretation of the policy language, lack evidentiary support for their arguments, they did not withhold benefits, there was plainly a dispute as to coverage, and it was reasonable not to consider Plaintiff's unidentified "expert" opinion.

"The law implies in every contract, including insurance policies, a covenant of good faith and fair dealing." (Wilson v. 21st Century Ins. Co. (2007) 42 Cal.4th 713, 720 (Wilson).) "The implied promise requires each contracting party to refrain from doing anything to injure the right of the other to receive the agreement's benefits." (Ibid.) "To fulfill its implied obligation, an insurer must give at least as much consideration to the interests of the insured as it gives to its own interests." (Ibid.) "When the insurer unreasonably and in bad faith withholds payment of the claim of its insured, it is subject to liability in tort." (Ibid. [citing Frommoethelydo v. Fire Ins. Exchange (1986) 42 Cal.3d 208, 214-215.])

"[T]he insurer cannot deny the claim without fully investigating the grounds for its denial." (Wilson, supra, 42 Cal.4th at p. 720.)[2] "[I]t is essential that an insurer fully inquire into possible bases that might support the insured's claim before denying it." (Id. at p. 721.) "[D]enial of a claim on a basis unfounded in the facts known to the insurer, or contradicted by those facts, may be deemed unreasonable." (Ibid.) "The insurer may not just focus on those facts which justify denial of the claim." (Ibid.)

In Wilson, Court concluded a triable issue of fact existed as to whether the insurance adjuster's denial the plaintiff's claim for UIM benefits was reasonable. There, the adjuster apparently based their denial on their own opinion rather than on medical evidence. The Court reasoned there was no evidence the adjuster had sufficient medical expertise to make plaintiff's diagnosis especially as it contradicted medical reports from the plaintiff's treating physicians. (Wilson, supra, 42 Cal.4th at p. 721-722.) That Court also reasoned that the adjuster inappropriately interpreted other evidence in favor of denying the claim. (Ibid.) Taken together, this was sufficient to defeat the defendant's summary judgment motion. As the Court of Appeal noted, "an insurer is not entitled to judgment as a matter of law where, viewing the facts in the light most favorable to the plaintiff, a jury could conclude that the insurer acted unreasonably." (Id. at p. 724.)

Here, Defendant met their initial burden that they acted reasonably. First, they conducted an investigation after receiving notice of the claim. (Separate Statement of Undisputed Material Facts (SSUMF) Nos. 3, 4, 5, 7.) Second, they made payments under the policy on the claim. (SSUMF Nos. 19, 31.) They closed the claim thereafter. (SSUMF No. 32.)

However, this same evidence also assisted Plaintiff to meet their burden to establish a triable issue of fact. To start, there is a dispute as to the policy interpretation.

One instance concerns the claim investigation. To start, the evidence indicates a dispute as to whether Plaintiff sufficiently cooperated in Defendant's investigation. For example, Rathert emailed Plaintiff's adjuster to provide supporting documentation for their position that the damaged fabric could not be restored to pre-loss condition. (SSUMF No. 12, Exhibit 9.) Plaintiff did so. (SSUMF No. 13.) Defendant did not accept this documentation. (SSUMF No. 15.) Defendant provided no reason for doing so. Whether this was reasonable is ripe for the jury. Stated otherwise, as in Wilson, "viewing the facts in the light most favorable to the plaintiff, a jury could conclude that the insurer acted unreasonably." (Wilson, supra, 42 Cal.4th at p. 724.)

A second instance concerns the definition of pre-loss condition. As far as the court can tell, the policy is silent as to this definition. Defendant apparently provides one: lacking smoke odor/debris. (See SSUMF No. 31 [BPP could be cleaned and restored to its pre-loss condition.]) This is supported by Defendant's evidence. (SSUMF No. 10, Exhibit 9 ["We owe to attempt to clean or repair first."]) However, this was after Plaintiff's adjuster informed Rathert that treated inventory cannot be sold as new. (SSUMF No. 9, Exhibit 9.) Put differently, treatment would never restore the inventory to its pre-loss condition. (SSUMF No. 12, Exhibit 9, Exhibit 13.) This is Plaintiff's definition: pre-loss means sellable as new.[3] (See Ibid.) Similar to Wilson, Defendant provided no evidence supporting its reasoning for the pre-condition definition meaning without odor. Thus, whether Defendant pursued their definition was unreasonable is a question for the jury.[4]

Accordingly, the court DENIES Defendant's motion for summary adjudication of the second cause of action.

Punitive Damages

Defendant contends summary adjudication in their favor is warranted because Plaintiff cannot recover actual damages for bad faith – which precludes punitive damages. They add Plaintiff cannot demonstrate malice, oppression, or fraud due to the genuine dispute as to coverage and the amount payable on the claim.

Plaintiff argues that the evidence shows Defendant meets the definition of malice and their repeated misconduct supports punitive damages.

Defendant replies that Plaintiff did not argue or submit evidence of corporate ratification.[5]

Here, since there is a triable issue of fact on the bad faith claim, this claim survives, too. Put differently, Defendant did not meet their burden.

Accordingly, the court DENIES Defendant's motion for summary adjudication of punitive damages.

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Motion for summary adjudication is DENIED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: July 8, 2026 ___________________________________ Upinder S. Kalra

Judge of the Superior Court

[1]

“[A]n insurer denying or delaying the payment of policy benefits due to the existence of a genuine dispute with its insured as to the existence of coverage liability or the amount of the insured’s coverage claim is not liable in bad faith even though it might be liable for breach of contract.” (Wilson, infra,, 42 Cal.4th at p. 723 [citing Chateau Chamberay Homeowners Assn. v. Asociated Internat. Ins. Co. (2001) 90 Cal.App.4th 335, 347 (Chateau Chamberay).]) This rule originally applied to policy interpretation disputes but was also applied to factual disputes. (Wilson, supra, 42 Cal.4th at p. 723.) “The genuine dispute rule does not relieve an insurer from its obligation to thoroughly and fairly investigate, process and evaluate the claim.” (Ibid.) “A genuine dispute exists only where the insurer’s position is maintained in good faith and on reasonable grounds.” (Ibid.)

Chateau Chambray is also inapplicable to this instant dispute because there was no dispute that the plaintiffs sought more than what their policy covered. (Chateau Chambray, supra, 90 Cal.App.4th at p. 349-350.) Here, there is a dispute that Defendant was not paying for covered losses.

[2]
Denial and delay of payments are treated the same in the context of bad faith litigation. (See, e.g., Case v. State Farm Mutual Automobile Ins. Co., Inc. (2018) 30 Cal.App.5th 397, 470.)

[3]
The court observes that Civ. Code § 1770(a)(6) describes a deceptive practice as representing that goods are new if they have deteriorated unreasonably or are altered, reconditioned, reclaimed, used, or secondhand. Plaintiff’s counsel informed Defendant in writing of this anomaly. “A failure to disclose the circumstances that had occurred to the fabric that is the subject of this loss would represent a material concealment of a known fact and, if discovered, it would certainly damage, quite substantially, the reputation of your insured, Noble Textiles, Inc. I do not believe that the insurance company has the right or ability to compel an insured to have fabric that is damaged cleaned and then dictate that the insured offer the same fabric as ‘new’ when it is known to all that it has been smoke infused or particle infused and subsequently cleaned, no matter how successfully.” (Exhibit 13, page 2.)

[4]

The court need not address the genuine dispute rule in light of the triable fact on bad faith. At summary judgment, the genuine issue rule applies "when it is undisputed or indisputable that the basis for the insurer's denial of benefits was reasonable. . . ." (Wilson, supra, 42 Cal.4th at p. 724.) "[A]n insurer is not entitled to judgment as a matter of law where, viewing the facts in the light most favorable to the plaintiff, a jury could conclude that the insurer acted unreasonably." (Ibid.)

[5]
This is a new argument that was not raised in the original memorandum or the opposition. (See Hahn v. Diaz-Barba (2011) 194 Cal.App.4th 1177, 1193 [additional evidentiary matter submitted with reply should not ordinarily be considered unless it poses no prejudice to the other party.]) Here, Plaintiff would be prejudiced by lacking an opportunity to respond to this novel argument. The court therefore disregards it.